

Q1. A startup team insists on finalizing a detailed business plan before speaking to any users. According to the Customer Development Manifesto, the fundamental flaw in this approach is that:

- A. Business plans are only for large companies
- B. There are no facts inside the building
- C. Agile development forbids planning
- D. Investors dislike documentation

Correct Answer: B

Q2. In the Customer Development process, which activity must occur before “Customer Creation”?

- A. Company Building
- B. Customer Validation
- C. Market Expansion
- D. Revenue Scaling

Correct Answer: B

Q3. A team builds a prototype immediately after brainstorming an idea, without interviewing customers. According to the Customer Discovery Overview, what critical principle are they violating?

- A. Test the solution before the problem
- B. Focus on channels first
- C. Build the MVP before hypotheses
- D. Execute before search

Correct Answer: A

Q4. The phrase “Stop selling, start listening” primarily emphasizes which step of Customer Development?

- A. Customer Creation
- B. Company Building
- C. Customer Discovery
- D. Customer Validation

Correct Answer: C

Q5. A startup tests its solution with users but has not yet verified whether the problem is significant. According to the process framework, this is risky because:

- A. Testing solutions is more expensive
- B. Problem testing must precede solution testing
- C. Early adopters dislike prototypes

D. Channels are not defined yet

Correct Answer: B

Q6. A team successfully validates that customers will pay for their product. According to the model, what should they do next?

- A. Redesign their BMC from scratch
- B. Begin Customer Creation
- C. Return to hypothesis stage
- D. Immediately build the company

Correct Answer: B

Q7. During Phase 1 (State Hypotheses), which of the following must be captured on the Business Model Canvas?

- A. Only the revenue model
- B. Problem, customer, market size, channels, value proposition
- C. Marketing budget and hiring plan
- D. Competitor pricing strategy

Correct Answer: B

Q8. A startup continues spending heavily on marketing despite having no proof of repeatable sales. Which Customer Development principle are they violating?

- A. Preserve cash while searching
- B. Agree on market type
- C. Startups demand chaos
- D. Combine agile with customer development

Correct Answer: A

Q9. According to Step 2: Customer Validation, identifying early adopters is essential primarily to:

- A. Maximize brand visibility
- B. Validate product–market fit
- C. Build company culture
- D. Raise venture funding

Correct Answer: B

Q10. A team realizes during testing that their assumed target customer is wrong. According to the framework, the correct response is to:

- A. Continue executing to save time
- B. Iterate or pivot

- C. Scale marketing
- D. Build the company

Correct Answer: B

Q11. The “Search vs Execute” distinction in Customer Development implies that:

- A. All startups must execute immediately
- B. Early stages focus on discovering a business model
- C. Execution precedes validation
- D. Search refers only to online marketing

Correct Answer: B

Q12. A startup refuses to change direction even after repeated failed experiments. Which Manifesto principle are they ignoring?

- A. No business plan survives first contact with customers
- B. Startups demand comfort with chaos
- C. Failure is integral to search
- D. Communicate and share learning

Correct Answer: C

Q13. A team conducts 50 customer interviews to understand pain points before designing any solution. This activity belongs to which phase?

- A. Test the Problem
- B. Test the Solution
- C. Customer Creation
- D. Company Building

Correct Answer: A

Q14. When the framework states “Don’t create something if you can’t show sales”, it primarily applies to:

- A. Customer Discovery
- B. Customer Validation
- C. Customer Creation
- D. Company Building

Correct Answer: C

Q15. A startup restructures its internal organization after achieving product–market fit. According to the model, this indicates entry into:

- A. Customer Discovery
- B. Customer Validation

- C. Customer Creation
- D. Company Building

Correct Answer: D

Q16. Which of the following best describes the goal of Phase 4: Iterate, Pivot or Proceed?

- A. Building MVP prototypes
- B. Recruiting founding team
- C. Verifying viability of the business
- D. Identifying early adopters

Correct Answer: C

Q17. The statement “There are no facts inside your building” implies that:

- A. Internal meetings are unproductive
- B. Only external customer interactions generate validated learning
- C. Business plans are useless
- D. Teams should avoid office work

Correct Answer: B

Q18. A startup defines its opportunity using NABC. Which element ensures competitive differentiation?

- A. Need
- B. Approach
- C. Benefits
- D. Competition

Correct Answer: B

Q19. According to the “9 Deadly Startup Sins”, one major cause of failure is:

- A. Excessive prototyping
- B. Lack of customer validation
- C. Overuse of agile methods
- D. Hiring too early

Correct Answer: B

Q20. A founding team consists only of visionaries with no execution-focused members. According to Lean Startup Team principles, the missing role is primarily:

- A. Hacker
- B. Hustler
- C. Visionary

D. Investor

Correct Answer: B